AD-HOC OPINION · PAPER & PACKAGING

Mayr-Melnhof: the cash is priced, the rest is almost free

11 November 2026 · Syz Research

IMPORTANT NOTICE

Prices are as of the close on 11 November 2026. The special distribution is planned, not approved: its amount, timing and form depend on the closing of the transaction, expected in H1 2027.

A deal that splits the group in two

On 9 November, Mayr-Melnhof (MM) agreed to sell 70% of its Packaging business to the US private equity firm KPS Capital Partners and announced a special distribution to shareholders. The share rose 11% over the week to EUR 74.10, still close to its 23 October low (EUR 64.10), the lowest since at least 2014. Does the market price the distribution? It prices the cash. What it barely prices is the business that remains.

Enterprise value **EUR 2.4bn** 100% of Packaging, about 9x 2026 EBITDA	MM keeps **30%** of the new holding, for about EUR 0.4bn	Cash to MM **EUR 1.8 to 1.9bn** after costs, taxes and reinvestment	Special distribution **EUR 0.5 to 0.6bn** EUR 25 to 30 a share, 34 to 40% of the price
Net cash after closing **EUR 0.8 to 0.9bn** before the distribution; EUR 0.3bn kept after	Closing **H1 2027** subject to approvals	Adjustment **30% to 20%** if 2027 EBITDA targets are missed	Accounting **Equity method** for the 30% stake

Packaging: the part a buyer wanted

Folding cartons for food, consumer brands and pharma sell on service, design and proximity to the customer, and demand follows consumption rather than the paper cycle. The business averaged an adjusted EBITDA margin of about 12% over 2021 to 2025, and in the first nine months of 2026 both packaging divisions improved their earnings on a like-for-like basis. At EUR 2.4bn, Packaging alone is now worth more than the whole group was before the deal (EUR 2.3bn enterprise value on 6 November). The group traded at about 6x EBITDA; Packaging is being sold at about 9x.

Board & Paper: the part the market ignores

Cartonboard and kraft paper are a commodity business with heavy fixed costs, in a Europe with too much capacity and high energy and fibre costs. Over nine months its adjusted EBITDA more than halved to EUR 39m and it lost EUR 44m at operating level, despite slightly higher volumes. After closing, it becomes MM's core business, with a long-term contract to keep supplying the Packaging business it just sold. A mill with high fixed costs gains a lot of profit from a small rise in prices, so the upside is real when the cycle turns, but nobody can date that turn today.

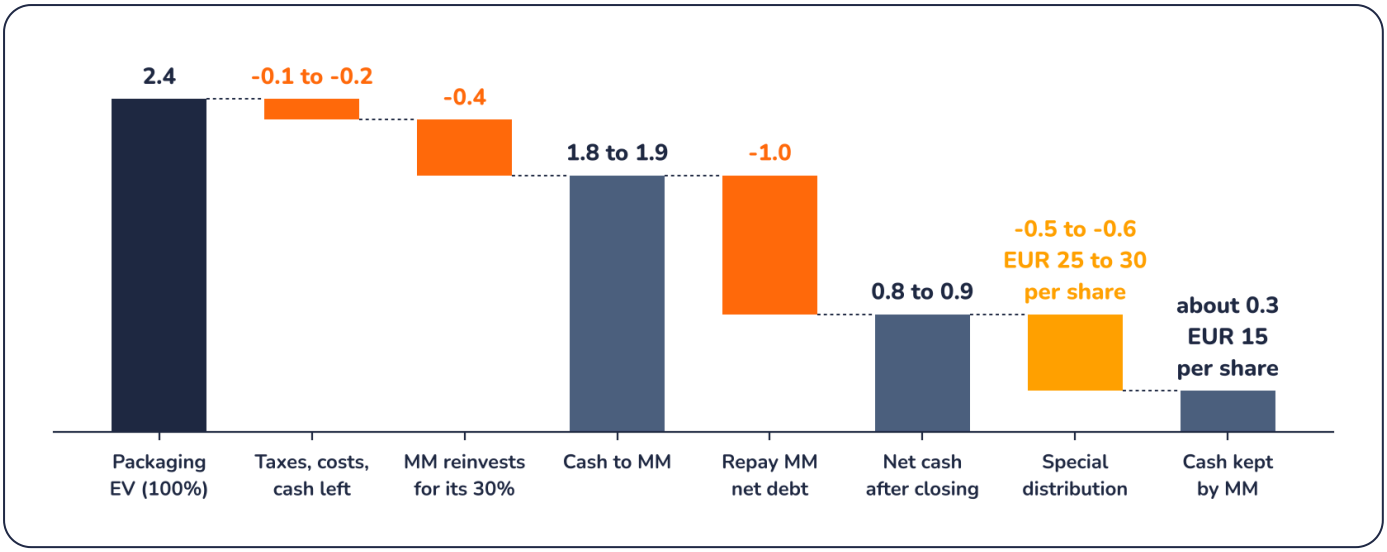
WHAT THIS MEANS FOR INVESTORS

- The special distribution is real, but it is not free money: it is cash that will already sit on the balance sheet, and the share price would fall by the same amount on the ex-date.
- What the market does not price is what remains after the cash and the stake: at EUR 74.10, Board & Paper is valued at about EUR 0.23bn, less than 2x its 2025 EBITDA (Syz calculation, page 2).
- The case suits investors comfortable with a family-owned small cap and a 2027 horizon: the free float is 42%, about EUR 2.2m trades a day, and the amount, timing and form of the payout are not locked.

The deal in numbers

Chart 1 · MM: from EUR 2.4bn to the special distribution

Expected cash proceeds from the transaction, EUR bn, rounded as published by the company



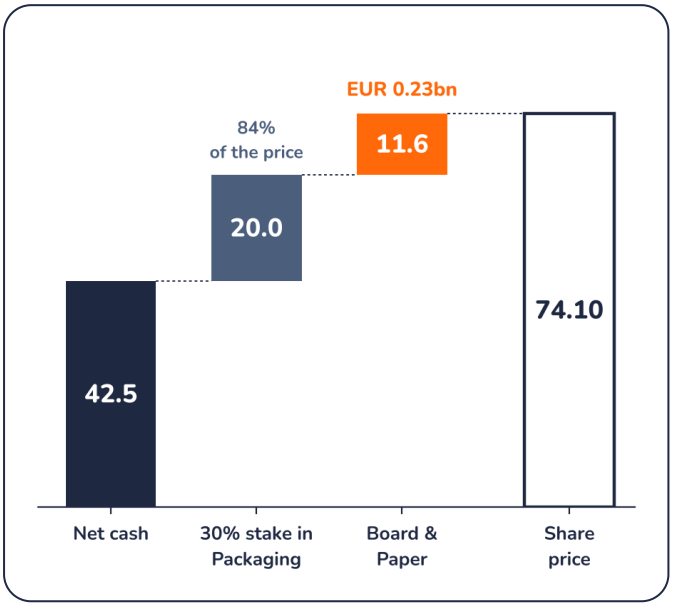
Source: Mayr-Melnhof, investor presentation of 9 November 2026; Syz Research

The EUR 0.4bn is what MM invests to keep 30%. It is below 30% of EUR 2.4bn because the new holding will carry about EUR 1.0bn of debt (Syz calculation): the stake is leveraged equity.

Is the share cheap?

Chart 2 · What EUR 74.10 buys

EUR per share; net cash includes the EUR 25 to 30 distribution



Source: Mayr-Melnhof; Syz Research, Bloomberg

SUM OF THE PARTS (SYZ CALCULATION)

EUR PER SHARE	LOW	MID	HIGH
Net cash after closing	40.0	42.5	45.0
30% stake in Packaging	20.0	20.0	20.0
Cash and stake	**60.0**	**62.5**	**65.0**
Implied Board & Paper	**14.1**	**11.6**	**9.1**
Times 2025 EBITDA	2.0x	1.7x	1.3x

Net cash of EUR 0.8 to 0.9bn after closing (before the distribution) plus the stake at the EUR 0.4bn MM invests, over 20m shares. KPS pays about 9x EBITDA for Packaging; the share price values Board & Paper at under 2x, and below 4x even on the depressed last twelve months. The distribution itself is not the opportunity: it is paid from cash already in the price.

RISKS AND WHAT TO WATCH

- **Payout not locked:** approvals, the tax bill and acquisitions (the planned Arnsberg mill) could reduce or delay it.
- **Stake can shrink to 20%** if Packaging misses its 2027 EBITDA targets, about EUR 7 per share.
- **Board & Paper** is loss-making at operating level; higher prices and orders are early signs of a turn (annex).
- **Swiss investors:** a dividend bears 27.5% Austrian withholding tax, 15% after the treaty reclaim; the form of the payout is still open.

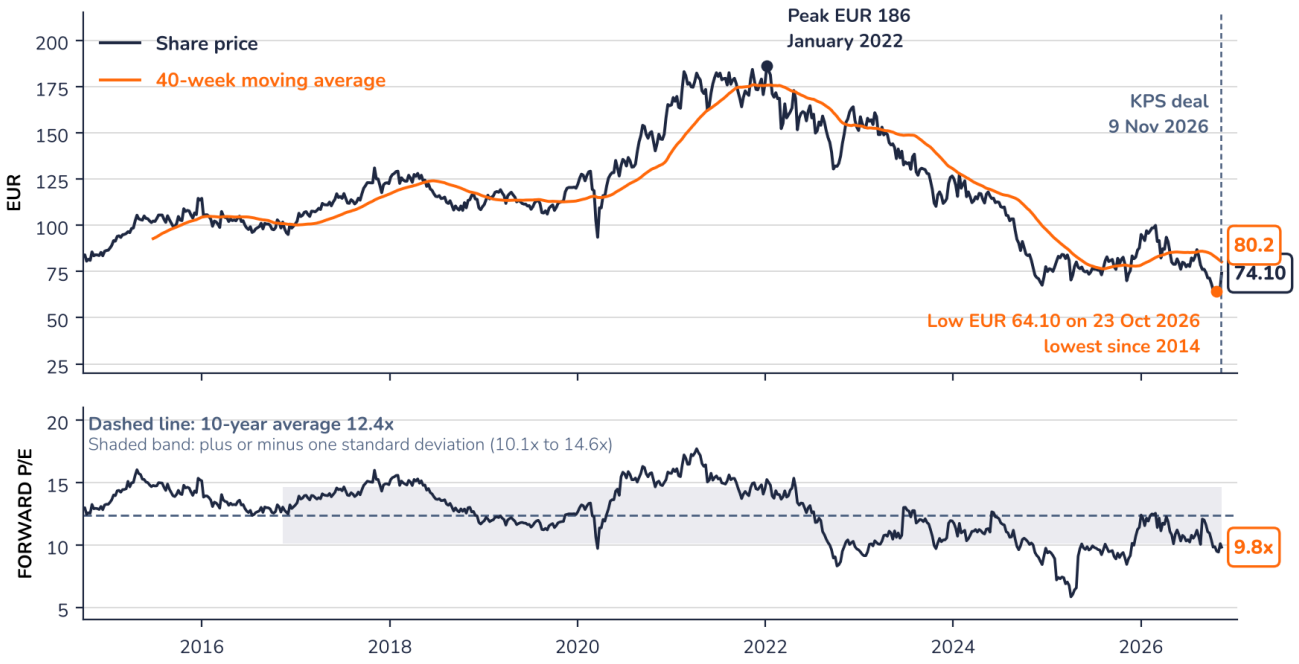
Mayr-Melnhof Karton AG (MMK AV)

A cash box with a cyclical mill attached, priced as if the mill were worth almost nothing

Share price	Market cap	Planned distribution	Forward P/E
EUR 74.10	**EUR 1.5bn**	**EUR 25 to 30**	**9.8x**
+10.9% over the week	20m shares, 42% free float	per share, after closing in H1 2027	10-year average 12.4x

Chart 3 · MMK AV: share price, 40-week moving average and forward P/E

Weekly data since September 2014; forward P/E with its 10-year average and a band of plus or minus one standard deviation



Source: Syz Research, Bloomberg

What the company does

MM is the world's largest producer of recycled cartonboard outside China. After the deal it becomes a board and paper producer with about EUR 2.0bn of sales, net cash and a 30% stake in its former Packaging business.

Why it could do well

The deal turns a complex group into something simple to value. The consensus earnings estimate was raised from EUR 6.61 to EUR 7.55 per share in the week of the deal, and Board & Paper would gain most from any recovery in board prices.

Where the share stands

The share is still about 60% below its January 2022 peak (EUR 186) and below its 40-week average (EUR 80.2). A move back above that level could confirm the deal has changed the trend; the October low of EUR 64.10 is the level to watch on the downside. The trap would be a long downturn in board prices and cash spent on acquisitions rather than returned.

CONCLUSION

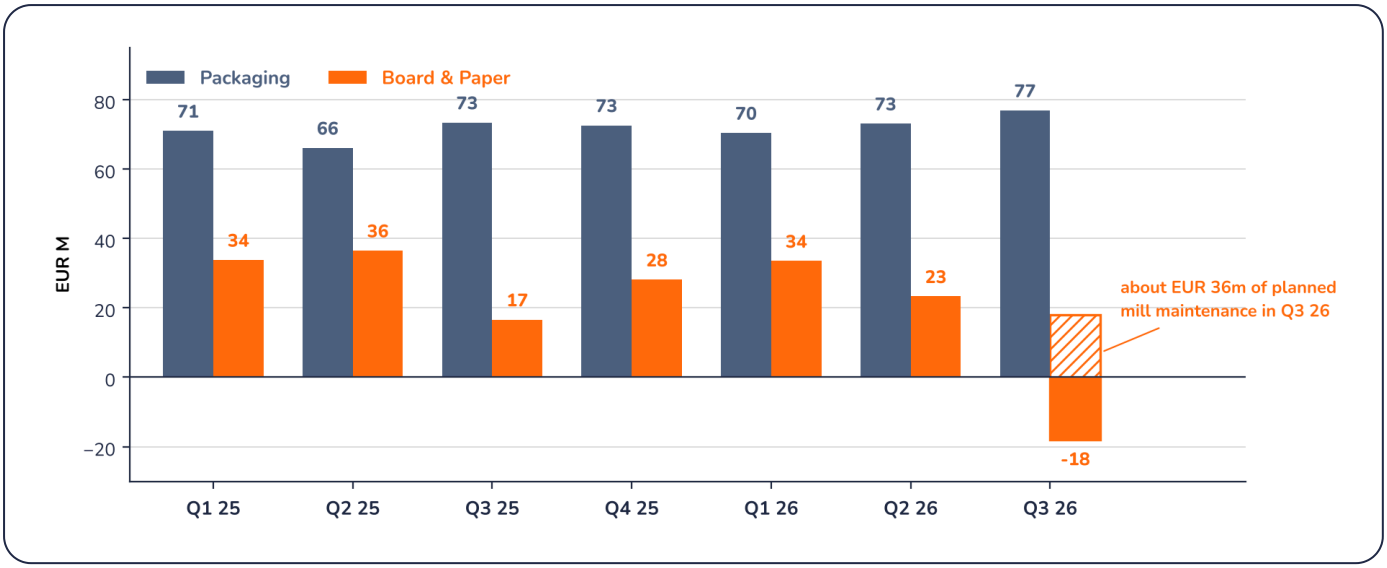
After the cash and the stake, an investor buys a European board and paper business for about EUR 0.2bn at a low point of its cycle. The case suits investors with a 2027 horizon who see a recovery in board prices as an option rather than a certainty.

Packaging vs. Board & Paper: two markets moving apart

The third quarter, published four days before the deal, shows why a buyer wanted Packaging and why the market gives little value to Board & Paper.

Chart 4 · MM: quarterly adjusted EBITDA by business

EUR m. Packaging: Food & Premium (excluding the TANN business sold in 2025) plus Pharma & Healthcare. Hatched: Q3 2026 maintenance costs



Source: Mayr-Melnhof, Trading Statement for the first three quarters of 2026 (5 November 2026); Syz Research

Packaging keeps delivering

Packaging's quarterly EBITDA has held between EUR 66m and 77m through the downturn, and the third quarter of 2026 was its best in the period. Over nine months, Food & Premium lifted its EBITDA margin to 14.5% (+0.9 points excluding TANN) despite lower volumes, thanks to cost savings. Pharma & Healthcare grew EBITDA by 13% to EUR 68m, helped by customers making GLP-1 weight-loss drugs. Management says demand in Packaging is picking up.

Board & Paper: a third quarter hit from three sides

Strong price competition in an oversupplied market; energy, transport and chemicals costs pushed up by the conflict in the Middle East; and planned maintenance at two virgin-fibre mills, Kwidzyn and Kotkamills, which cost about EUR 36m. The division's EBITDA turned negative (EUR -18m). Without the maintenance it would have been around EUR +18m (Syz calculation), about the level of the same quarter of 2025 (EUR 17m).

EARLY SIGNS OF A TURN, NOT YET A RECOVERY

- **Prices:** MM has implemented price increases since October to pass on higher costs.
- **Orders:** the average order backlog reached 183,000 tonnes over nine months, against 157,000 a year earlier, and mills ran at good capacity utilisation.
- **Supply:** overcapacity in Europe has been reduced by the exit of a competitor, and MM plans to buy the Arnsberg cartonboard mill, which it expects to bring synergies.
- **Costs:** the Fit-For-Future savings programme is partly offsetting cost pressure.

Management still expects sustained margin pressure in Board & Paper, so these signals support patience rather than a call on the timing of the recovery.

Sources

Mayr-Melnhof Karton AG: investor presentation and press release of 9 November 2026 (sale of a majority stake in the Packaging business to KPS Capital Partners and planned special distribution); Trading Statement for the first three quarters of 2026, 5 November 2026; shareholder structure, company website.

Syz Research, Bloomberg (prices, traded volumes, moving average, consensus earnings and forward P/E as of the close on 11 November 2026). Syz calculation: sum of the parts, implied equity value and debt of the new Packaging holding, implied value of Board & Paper.

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